

Production month-end close procedure

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This procedure defines the monthly snapshot and the treatment of changes that arrive after it is frozen. This draft is prepared for production accountants as part of Mesa Lantern Energy's initial information handoff. It describes the modeled operation at the stated date and should be read with the period and coverage of its supporting records.

Purpose and immediate use

Before the tenth business day freeze, compare field entries with meter readings, resolve or label exceptions, and identify the set of accepted daily records for the month. Record the extraction date. After the freeze, a revised number must travel through a dated adjustment; do not edit the month's original snapshot. A restatement should identify which adjustment records it includes.

Monthly close boundary

Production Accounting freezes the monthly reporting snapshot on the tenth business day after month end. Changes after that point use a dated adjustment record rather than overwriting the frozen view. A reader comparing two months must therefore distinguish the original close from a later restatement view. The reporting period and extraction date are both necessary to interpret a number.

Daily field-to-ledger path

Field operators enter well readings in Field Log by the next morning. Production Accounting compares those entries with Meter Historian readings, records exceptions, and posts reviewed values to Production Ledger. A correction preserves the first entry and a reason for the change. The review path matters because a later extract should be traceable to the reading and decision that produced it.

Adjustment lineage

A production adjustment points back to the original daily record, names the stream being corrected, and keeps both original and revised values with a posting date and reason. Adjustments posted after the monthly freeze belong to a restatement view. Analysts should not add both the original and revised quantity when preparing a summary; they should select a declared version of the record.

Production measure

For a reviewed well-day, internal boe is oil barrels plus raw gas Mcf divided by six. A month total sums the included reviewed daily records; an average daily rate divides by calendar days and must be paired with a coverage indicator. Because this pilot extract samples well-days, neither its total nor its average can be presented as Mesa Lantern's full operated production without an explicit coverage method.

Coverage and missing values

The proposed extracts end on August 31, 2026. Production rows represent selected well-days, about 32 of 118 modeled wells per day on average, so their sums are not companywide production totals. Some meter or downtime values may be null, with a reason where available. A missing value is excluded from a numeric calculation and must never be silently treated as zero.

Record question for review

Before freezing a month, choose one flagged daily entry and show how it was resolved or left under review. After the freeze, demonstrate the dated adjustment path on a different example. These two traces make the cutoff practical for an analyst who receives only the later extract.

Review action and handoff

When explaining a month, show the coverage of selected wells and the version of the data used. The sample extract can document how the close process works, but it cannot establish total company volumes. An unresolved entry remains visible as unresolved in the handoff.